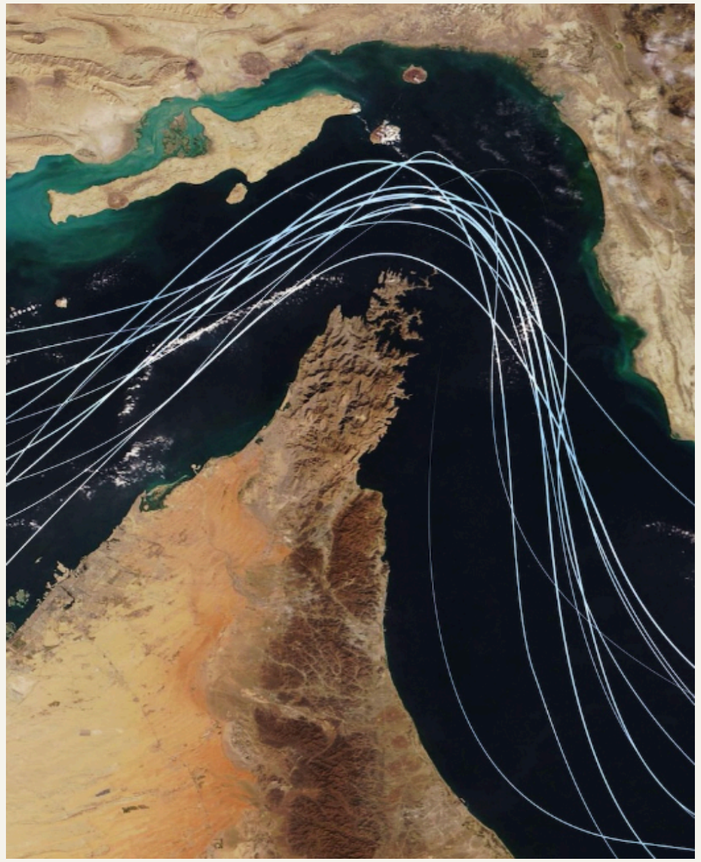
Gold’s Safe Haven Narrative is Broken
— Interest Rates are the Key Driver

Viewpoint

- The traditional narrative of gold price rallying when the geopolitical conflict intensifies doesn’t apply to current situation

- The interest rate expectation is the key to the gold price

- Gold price will stay low as long as the market expects an interest rate hike



Market observation

- Gold price test record-high when the middle east conflict just started
- The price dropped over 15% within four days as the market increased its expectation on the interest rate
- The market experienced high volatility when the conflict intensifies

Hormuz Strait Tension

Phase I (<3 days)

Initial Shock

↓

Safe-haven Inflow

↓

Gold price test $ 5400 - Record High

Phase II (Weeks to Months)

Intensifying conflict brings new logic

Oil price ↑

↓

Inflation Expectation ↑

↓

Interest Rate & Real Rate Expectation ↑

↓

US Dollar Inflow & Liquidation of Gold position

↓

Gold price by 14% ↓

Evidence - Long Term Regime

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                            OLS Regression Results
==============================================================================
Dep. Variable:               gold_ret   R-squared:                       0.081
Model:                            OLS   Adj. R-squared:                  0.074
Method:                 Least Squares   F-statistic:                     13.09
Date:                Tue, 21 Apr 2026   Prob (F-statistic):           3.30e-08
Time:                        17:20:12   Log-Likelihood:                 892.33
No. Observations:                 452   AIC:                            -1777.
Df Residuals:                     448   BIC:                            -1760.
Df Model:                           3
Covariance Type:            nonrobust
==============================================================================
                 coef    std err          t      P>|t|      [0.025      0.975]
------------------------------------------------------------------------------
const          0.0053      0.002      3.316      0.001       0.002       0.008
oil_ret        0.0091      0.017      0.551      0.582      -0.023       0.042
dxy_ret       -0.4167      0.070     -5.982      0.000      -0.554      -0.280
rate_change   -0.0037      0.003     -1.111      0.267      -0.010       0.003
==============================================================================
Omnibus:                       28.935   Durbin-Watson:                   1.718
Prob(Omnibus):                  0.000   Jarque-Bera (JB):               51.105
Skew:                           0.418   Prob(JB):                     7.99e-12
Kurtosis:                       4.420   Cond. No.                         43.9
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Evidence - Long Term Regime

- In the long-term regime, a 1pp rise in interest rates is associated with a 0.37% decline in gold returns
- The relationship is statistically insignificant ($p=0.267$), suggesting interest rates are not the dominant driver over the full sample
- The low R^2 (0.081) suggests that oil, USD, and interest rate movements collectively explain only 8% of gold return variance in the long run, implying the presence of additional drivers
- Additional drivers may include central bank gold purchases, geopolitical risk premia, and retail demand from emerging markets such as China and India

Evidence - Recent regime

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                            OLS Regression Results
==============================================================================
Dep. Variable:               gold_ret   R-squared:                       0.286
Model:                            OLS   Adj. R-squared:                  0.248
Method:                 Least Squares   F-statistic:                     7.479
Date:                Tue, 21 Apr 2026   Prob (F-statistic):           0.000269
Time:                        17:37:10   Log-Likelihood:                 126.51
No. Observations:                  60   AIC:                            -245.0
Df Residuals:                      56   BIC:                            -236.6
Df Model:                           3
Covariance Type:            nonrobust
==============================================================================
                 coef    std err          t      P>|t|      [0.025      0.975]
------------------------------------------------------------------------------
const          0.0221      0.004      5.394      0.000       0.014       0.030
oil_ret       -0.0661      0.043     -1.540      0.129      -0.152       0.020
dxy_ret       -0.5416      0.193     -2.813      0.007      -0.927      -0.156
rate_change   -0.0574      0.017     -3.445      0.001      -0.091      -0.024
==============================================================================
Omnibus:                        6.298   Durbin-Watson:                   1.790
Prob(Omnibus):                  0.043   Jarque-Bera (JB):                5.911
Skew:                           0.767   Prob(JB):                       0.0520
Kurtosis:                       3.101   Cond. No.                         49.2
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Evidence - Recent regime

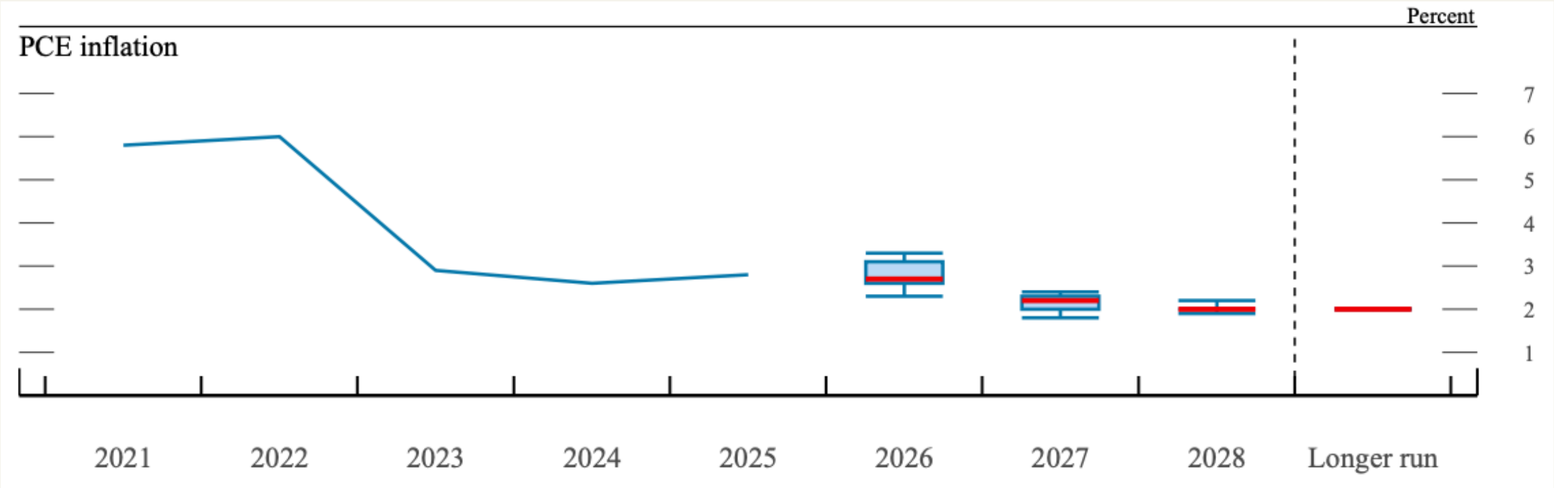
- In the recent regime (2021–present), a 1pp rise in interest rates is associated with a 5.74% decline in monthly gold returns (p=0.001), a relationship that is highly statistically significant.

- Interest rates, USD, and oil have become meaningfully more important drivers of gold in the current rate cycle (R^2 = 0.08 ⟶ 0.286) — though roughly 70% of variance remains unexplained, consistent with gold being influenced by multiple factors.

- The interest rate coefficient amplified 15x (coef = -0.004, p = 0.267 ⟶ coef = -0.057, p = 0.001), indicating a structural shift in the gold-rate relationship and the rising dominance of interest rate expectations as a driver of gold price.

Market pricing

- Market appears to underprice the persistence of high inflation and higher-for-longer rates



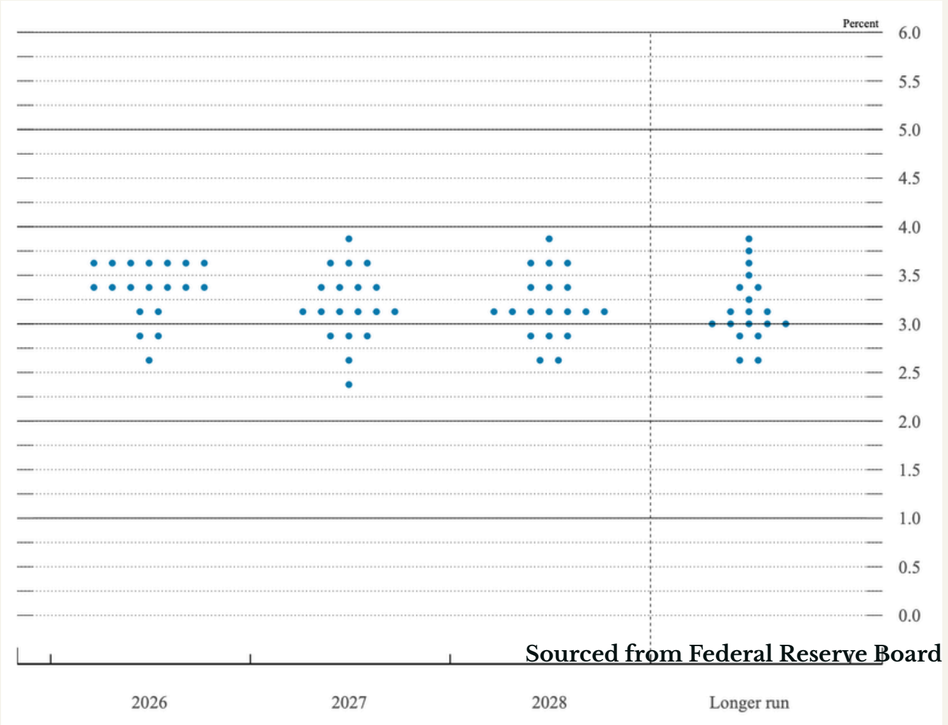
Sourced from Federal Reserve Board

- The expected PCE inflation maintains current level through 2026 despite the oil supply shock

Market pricing

- Despite persistent inflation signals, market pricing still implies partial easing — creating downside risk for gold

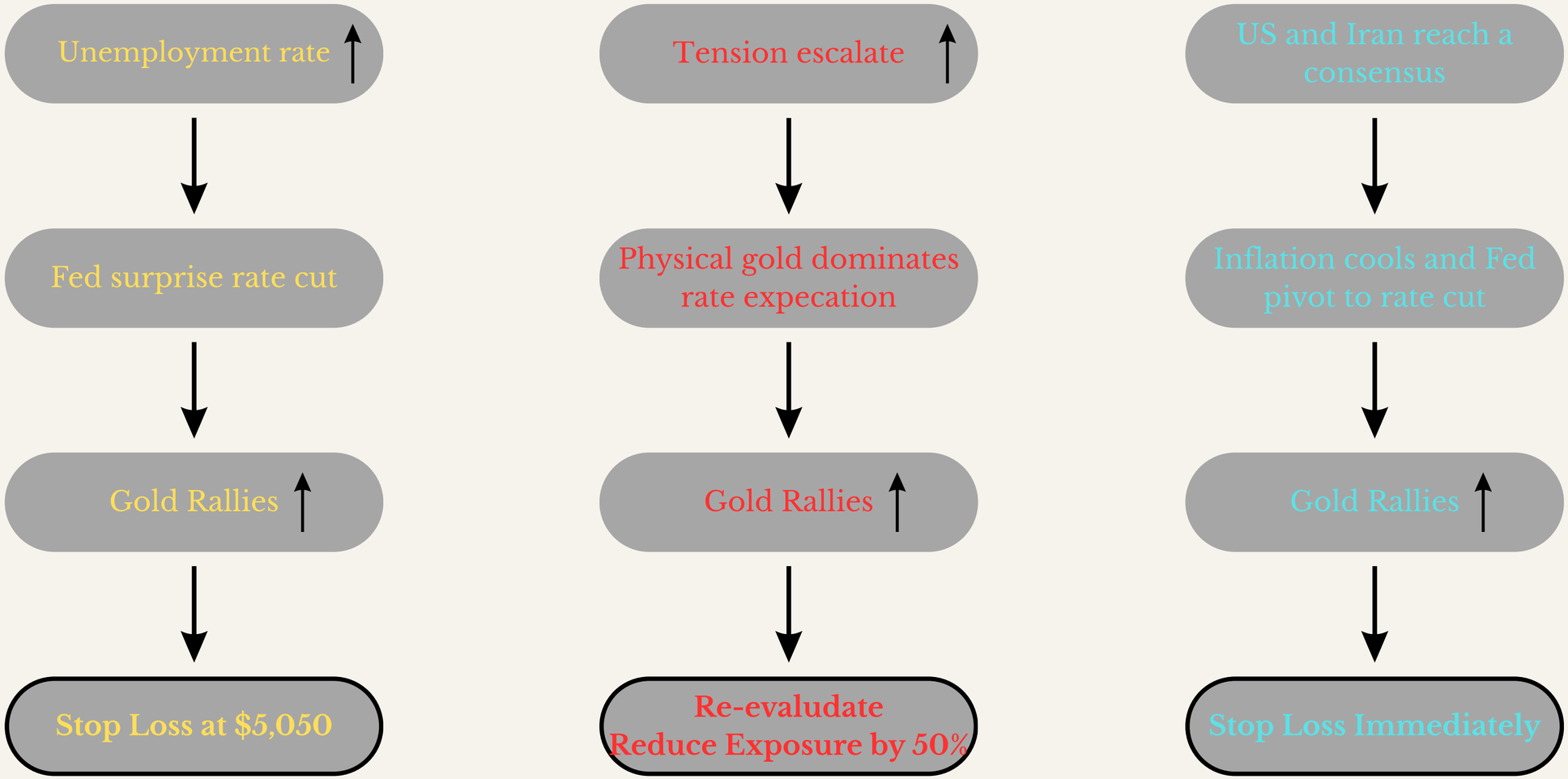
- This mispricing creates asymmetric downside risk for gold



Sourced from Federal Reserve Board

Risk to our view

- Key risk: a collapse in rate expectations ⟶ invalidate the short-gold thesis



Trading recommendation — Setup

- View: Short gold on rallies toward resistance
- Edge: Market underestimates the persistence of the oil supply shock and Fed's contractionary policy
- Catalyst:
  CPI or PCE > Expectation & Unemployment rate remains strong
  Fed's dot plot shifts upward
- Positioning: Gold positioning crowded on long side, making gold vulnerable to sharp liquidation if rate expectations reprice higher

Trading recommendation — Execution

- Instrument: Short GC future for profit or Buy GLD put for risk control
- Entry Signal: Enter short when gold retraces toward $4,950–$5,000 resistance, confirmed by rising 2Y Treasury yield or hawkish Fed Funds Dot Plot
- Exit/Stop-Loss: Cover if gold daily close above $5,050 or if Fed signals pivot
- Target Price: Gold reaches $4,700 (H4 Support with 14 days Moving Average)
- Risk to Reward Ratio: 1 : 2.5
- Time Horizon: 1 — 3 months, conditional on inflation and policy data

Conclusion

- Unless the rate expectation collapses and substantially declines, gold rallies are likely to fade, reinforcing a **sell-on-strength** strategy